

WAREHOUSEGOODS

Vendor Compliance and Freight Routing Guide

CONFIDENTIAL JLI51242031

NC-JLI-Consent Judgment

Source: https://www.industrydocuments.ucsf.edu/docs/tlfb0399

Dear Vendor:

Warehouse Goods, Inc. is dedicated to providing its customers with the highest possible customer service. This is only possible with the help and cooperation throughout the supply chain and readiness in operations and logistics. Therefore we have provided this Supplier Compliance and Freight Routing Guide which has been designed to provide you with a quick and easy reference for our shipping requirements. Please read this guide before shipping Warehouse Goods, Inc. Purchase Orders to make certain that you adhere to the guidelines and avoid any future possible delays in deliveries as well as financial ramifications.

Please be advised that Compliance and Routing Instructions are deemed part of the terms and conditions of purchase. These requirements are structured to provide supply chain efficiencies that cut costs, sustain mutually beneficial needs and support the needs of consumers.

Thank you in advance for following these requirements. Should you have any questions related to these guidelines, please contact Scott Obloy at ops@vapeworld.com or UCSF Redaction

Thank you
Sincerely,
COO

Ship to Location & Contact Information

Source: https://www.industrydocuments.ucsf.edu/docs/tlfb0399

Boca Raton – Florida

6590 East Rogers Circle, Bay 6
Boca Raton, FL 33487

Scott Obloy & Christian Townsend
UCSF Redaction
ops@vapeworld.com **& Cc:** Ctownsend@vapeworld.com

Receiving Hours – 9am-4pm EST

Carlstadt – New Jersey

GMA Accessories c/o
Warehouse Goods, inc.
401 Washington Ave.
Carlstadt, NJ 07072

Scott Obloy
UCSF Redaction **Or**
ops@vapeworld.com & Cc: Vwnjshipping1@gmail.com

Receiving Hours – 9am-4pm EST

Las Vegas – Nevada

Nitco c/o Warehouse Goods, Inc.
6650 Spencer St. #110
Las Vegas, NV 89119

Scott Obloy & Damariz Soto
UCSF Redaction
ops@vapeworld.com **& Cc:** damariz@vapeworld.com
Receiving Hours – 9am-4pm PST

Ontario – Canada

Vape World Distribution Ltd.
3400 Ridgeway Dr. Unit 10
Mississauga, ON – L5L0A2

Dan Russo
UCSF Redaction
dan@vapeworld.ca **& Cc:** grant@vapeworld.ca

Receiving Hours – 9am-4pm EST

Carton Requirements

Source: https://www.industrydocuments.ucsf.edu/docs/tlfb0399

Carton Openings

- Carton openings must be on the top and the bottom of carton. The top and the bottom of the carton must be the largest surface areas.
- Cartons not meeting this requirement may not be processed, and the vendor may incur a chargeback.

Carton Closures

- Carton closures (top and bottom) must be securely sealed with plastic tape (do not use reinforced paper tape).
- Tape must be placed over the entire length of the seams and extend over the ends a minimum of 3 inches.
- Stapling the closure is not allowed.

Banding, Strapping, Staples or String/Wire Tying

- Banding, strapping, staples, or string/wire tying of cartons as a means of closure is NOT PERMITTED unless mandated by country of origin regulations.
- Please contact Operations Department if required to seal cartons using any of the above methods.

Corrugate Specifications

- ***Imported Cartons***
  - All imported cartons must use a Regular Slotted Container (RSC) that has a minimum of the following:
    - 125kg (275 lbs) burst strength
    - Edge Crush Test (ECT) of 21.8kg (48 lbs)
    - These specifications are mandatory
- ***U.S. Cartons***
  - Where the shipment has been packed in the U.S. with new cardboard, the minimums are as follows:
    - 90kg (200 lbs) burst strength
    - Edge Crush Test (ECT) of 14.5 (32 lbs)
    - Carton must withstand a maximum loading of 65 lbs.

Carton Design

- Cartons must be of rectangular construction.
- The width of the carton must be greater than the height.
- The length of the carton must be greater than the width.
- Square-shaped cartons will turn during processing; causing UCC-128 label misreads.
- Cartons with a height greater than the width will fall over during processing; also causing UCC-128 label misreads.

Pallet Requirements

- All non-containerized shipments of more than 10 cartons must be palletized.
- Product should be delivered on Grade B, reusable, four-way entry pallets, measuring 40”X48” unless it is a customized piece.
- Cartons must be delivered right-side up and cubed on a pallet with no overhang.
- All cartons must have their longest side facing one of the outer sides of the pallet (no hidden cartons).

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- All pallets must be stacked such that they maintain their integrity in-transit without the use of banding (cartons not overstuffed, cartons arranged in an inter-locking manner, etc.) Warehouse Goods, Inc., prefers all pallets be shrink-wrapped with opaque black shrink wrap.
- Pallets must be built so they are no taller than 72 total inches
- All palletized cartons must have labels facing outward.

Loading Requirements

- Load all containers in the order that purchase orders are listed on the Bill of Landing and/or manifest. Trailers must be loaded maintaining individual purchase order line item integrity to require minimum unloading at our Receiving Dock and to expedite merchandise to our distribution centers.
- All shipments must be loaded so that the following rules are abided by:
    - Each PO is kept together
    - Within a given PO, each style number is kept together
    - Within a given style, each color is kept together

Prepaid Shipments

"Prepaid" Purchase Orders are deemed to be FOB Destination, Freight Prepaid terms unless otherwise agreed upon in advance of shipment. The Supplier will be bound by these terms unless otherwise authorized by Warehouse Goods, Inc. in advance of the shipment.

Vendor Shipping Requirements

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All Purchase Orders by Warehouse Goods, Inc. will serve as a binding agreement of sale. Upon acceptance of the Purchase Order by the vendor it is the vendor's obligation and responsibility to honor all the terms and conditions, which includes observance of this routing guide.

Warehouse Goods, Inc. Purchase Order Number(s) should be clearly displayed on all Freight Bills, Commercial Invoice, Packing Slips and communication (i.e. email and fax).

Shipping Label Instructions

Note: Shipping labels cannot be smaller than 3'x3" and no larger than 4'x6" in size.

Information required on shipping label:

1. Source name and address (to be the same as on your packing slip and/or invoice).
2. Shipping address as indicated on Purchase Order.
3. The Purchase Order number.
4. The style number.
5. Color.
6. Size (when applicable).
7. Total quantity of units.
8. Sequential carton numbering (i.e. 1 of 20, 2 of 20, etc.)

(1) Vape Inc
111 North St/Suite 200
Any City, CA 90000

(2) Warehouse Goods, Inc.
6501 Park of Commerce Blvd Ste 200
Boca Raton, FL 33487

(3) PO123
(4)123456
(7)25
(5) Red
(6) n/a
(8)1 of 5

(1) Vape Inc
111 North St/Suite 200
Any City, CA 90000

(2) Warehouse Goods, Inc.
6501 Park of Commerce Blvd Ste 200
Boca Raton, FL 33487

(6) CNC-0 CNC-1 CNC-2 CNC-3

(3) PO123
(4) 123456
(5) Red
(7) 25
(8) 1 of 5

Carton Markings

Source: https://www.industrydocuments.ucsf.edu/docs/tlfb0399

FRONT P.O.#_____ Item #_____ Carton ___of___ Made In_____ GW:___ KGS:___ LBS: ___ NW:___ KGS:___ LBS:___ DIM: ___X___X___CM___IN___	SIDE Warehouse Goods, Inc. Boca Raton, FL Item#_____ Color_____ Quantity_____ Pre-Ticket Yes or No Pre-Pack Yes or No

International Shipping Guidelines

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Source: https://www.industrydocuments.ucsf.edu/docs/tlfb0399

Shipments received by Warehouse Goods, Inc. from any country or possession that is outside of the United States must be processed according to all specified guidelines. In addition, shipments must be processed with those unique requirements specified for import shipments only.

Country of Origin
To be considered as the "Country of Origin" the article must be a new and different article of commerce resulting from a manufacturing operation when there is a change in: 1) Commercial Identity, 2) Fundamental Character or 3) Commercial Use.

An article usually will not be considered a product of a foreign country/possession by virtue of merely having undergone any of the following:

- Simple combining operations.
- Simple packing/packaging operations.

Any item identified as US country will require that an affidavit of origin be provided to Warehouse Goods, Inc. on supplier company letterhead, signed by a competent person with knowledge of the origin of the item.

Country of Origin Marking
To ensure swift clearance through US Customs and avoid duty increase penalties all individual articles must indicate the country of origin. (See above)

The marking must be in English and must consist of the works "Made in (Country)" or "Produced in (Country)" and must appear in a conspicuous place easily seen by the purchaser with casual handling.

The article must be marked as permanently as the nature of the product will permit. Marking that will not remain on the article during handling or for any other reason, except deliberate removal, is not a proper marking.

Required Importation Paperwork
If your shipment is to be processed by U.S. Customs with Warehouse Goods, Inc., as the importer of record, the following documentation must be surrendered to the nominated freight forwarder on or before the Ex Date (delivery date to the freight forwarder).

- Manufacturer/Vendor Commercial Invoice
- Packing List
- Certificate of Origin

Routing – Import Shipping

- Any time delay in making entry through U.S. Customs due to incorrect importation paperwork will result in a charge back or cancellation from Warehouse Goods, Inc.
- All shipments whether air or boat must be delivered to our nominated freight forwarder stated in the Letter of Credit by the EX Consolidator Date as stated on the Purchase Order. DO NOT book any cargo directly with the steamship lines. Failure to meet the EX Consolidator Date as designated on the Purchase Order could result in our forwarder refusing your shipments and require vendor to ship air at vendor's expense or pay a late delivery penalty.
- No Factory Loads unless approved by the Import Department.

Illegal Trans-Shipments
Trans-shipment is an illegal practice of falsely documenting the country of origin on goods entered into the United States in order to misstate country of origin.

Source: https://www.industrydocuments.ucsf.edu/docs/tlfb0399

Warehouse Goods, Inc., does not condone or support trans-shipping. If a manufacturer is determined to have engaged in, participated in, condoned trans-shipping in any form, Warehouse Goods, Inc., will respond as follows:

Our Purchase Order will be irrevocably cancelled and the vendor will bear all costs incurred by Warehouse Goods, Inc., as a result of the cancellation. All further business with the vendor will be ceased and any future orders will be cancelled.

Vendor will be responsible for an U.S. Customs penalties imposed against Warehouse Goods, Inc., by U.S. Customs as a result of giving false statements regarding the country of origin.

Top of Production Sample (T.O.P.)
Must be sent to the attention of the Buyer or Production Manager and received no later than 10 days prior to the Ex Consolidator Date.

Letters of Credit
For all Letters of Credit questions please contact Buyer.

International Purchase Orders should include the following:
The overseas Manufacturer/Shipper must include with the shipment (through a forwarding agent) the following paperwork:

- **Commercial Invoice** (including all of the following details)
  - The date of the invoice
  - The port of entry to which the merchandise is destined.
  - The name and address of the purchases, or consignee if not a purchase transaction.
  - The name and address of the seller, or shipper if not a purchase transaction.
  - A detailed description of the merchandise.
  - The quantities being imported in appropriate weights.
  - The purchase price of each item.
  - The currently of the transaction in U.S. Dollars
  - All relevant charges (such as freight and insurance) to bring the merchandise from alongside the carrier at the port of export to alongside the carrier at the first U.S. port of entry).
  - All relevant discounts.
  - The country of origin (manufacture) of each item.
  - The terms of the sale of the transaction.
  - The entire invoice must be in English.
  - Goods or services furnished of production of merchandise not otherwise included in the invoice price (i.e. assists).
  - Complete name and address of the manufacturing facility
  - The name and signature of a responsible individual (an employee of the seller or shipper) who can readily obtain knowledge of the transaction.)
  - Net weights by style and size, total gross weight and total net weight.
  - Bill of Landing, Cargo Receipt, Airway Bill, or Carrier's Certificate. This is evidence of the consignee's right to make entry.
  - Detailed packing list in duplicate indicating breakdown by style/color/size.
  - Any other necessary document to determine whether the merchandise may be admitted into the United States, or as required by the letter of credit.
  - 1 hard copy of the Serial Number Manifest (if serialized item)
  - 1 digital copy of the Serial Number Manifest in CVS or Excel Format **24-48 hours prior to shipment being delivered** (if serialized item)

Source: https://www.industrydocuments.ucsf.edu/docs/tlfb0399

Domestic Shipping Guidelines

The guidelines for the shipping of merchandise to our distribution center are designed to facilitate the quick and efficient flow of merchandise. Adhering to these guidelines will expedite the merchandise, minimize payment delays, charge backs and merchandise returns to the vendor.

- Vendors have two options in choosing a freight carrier; utilizing a Company authorized carrier, or a carrier of their choice.
- A delivery appointment and an Advance Shipment Notice are required for each shipment.
- Any Merchandise arriving at the distribution center after the IN DC/STORE date (including merchandise will remain the property of the vendor.)
- Each vendor shall be liable for chargebacks resulting from failure to comply with these instructions

Domestic Invoice/Packing Requirements

Invoice/Packing Slip Requirements

- The following guidelines must be followed when preparing invoice/packing slip(s):
  - Each individual Purchase Order number must be invoiced separately and address to Warehouse Goods, Inc., Accounts Payable, 6501 Park of Commerce Blvd, Suite 200, Boca Raton, FL 33487
  - The Vendor is required to include a packing slip with each merchandise shipment received by Warehouse Goods, Inc. Distribution Centers. A packing slip must be placed in a pouch and placed on the lead carton of each purchase order shipped. Ship to address on packing slip should be Warehouse Goods Inc., 6501 Park of Commerce Blvd, Suite 200, Boca Raton, FL 33487.
- The invoice/packing slip per Purchase Order must include the following:
  - Complete 'to/from' addresses
  - Vendor Invoice/Packing slip number
  - Department number
  - Purchase Order number, style number, size and color
  - Content – quantity listed by style/size/color level
  - Total quantity of units in shipment per Purchase Order
  - Total number of cartons per shipment per Purchase Order.
  - Weight
  - Freight charges
  - Terms (Invoice Only)
  - Individual unit cost per style (Invoice Only)
  - Total cost extension for each style (Invoice Only)
  - Total dollar amount due (Invoice Only)

Purchase Order Requirements

All vendors for Warehouse Goods, Inc. are required to comply with the purchase order specifications regarding packaging.

- Each purchase order must be packaged separately. Purchase orders cannot be combined in a carton or on a packing list.

Packing List Requirements

- Packing Lists must be included with all shipments
  - Purchase orders cannot be combined on a single packing list
  - The packing list must accurately state the quantity shipped, not what was ordered.

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- The packing list must be written, printed or typed in the English language.
- The packing list must be in or on the lead carton. If in the lead carton, the carton must be identified with "Packing List Enclosed."
- A second copy of the packing list must be attached to the Bill of Landing.

- The Packing List must include:
  - Vendor Name
  - The Warehouse Goods, Inc. purchase order number.
  - Style, color and size codes and descriptions
  - Quantities by style/color/size – by Stock Keeping Unit (SKU)
  - Unit of measure must be one selling unit. No other unit of measure (i.e. dozens).
  - Total number of cartons by SKU.
- Chargeback Policy for Packing List Violations
  - Failure to provide a packing slip or submitting a packing slip with incorrect/missing information will result in a chargeback of a DC fee of $___ per Purchase Order.
  - Penalties charged for packing slip violations will be charged back separately for each line of the Purchase Order.

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Delivery Requirements

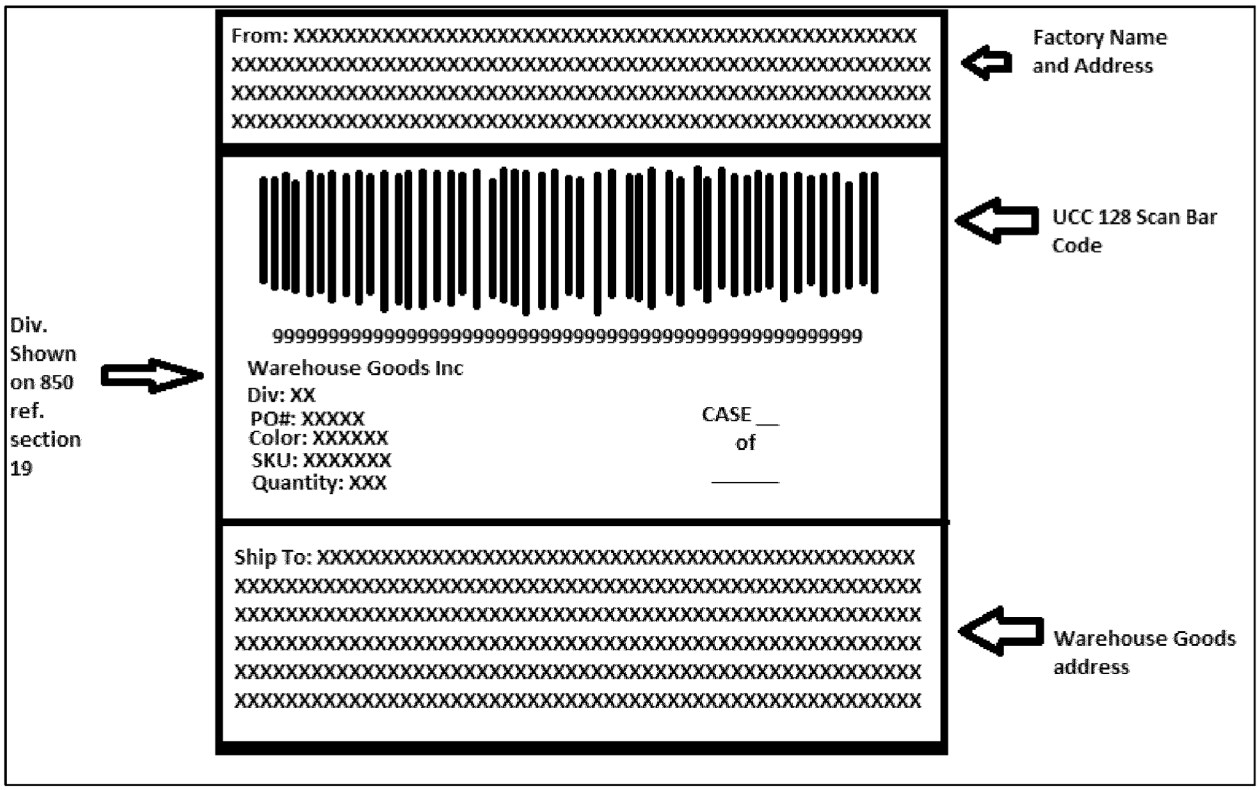
Delivery Guidelines
The guidelines for the delivery of merchandise to our distribution center are designed to facilitate the quick and efficient receipt of merchandise while ensuring good dock management and reduced unloaded times.

EDI/UCC128 Requirements
All EDI Purchase Orders shipped by a vendor to Warehouse Goods, Inc., requires the following:

- A Purchase Order
- An Advance Ship Notice – Warehouse Goods, Inc., requires a unique ASN for each location of an order per shipment. Only one SKU per carton is allowed. When carton is represented with multiple SKUs per carton, the ASN will fail at the distribution center which will trigger a charge back.
    - Warehouse Goods, Inc., realizes that some of our vendors cannot transmit ASN's until the shipment has been picked up but for those vendors who can transmit ASNs prior to pick up, we would prefer you to transmit those 24 hours prior to the actual pick up, providing the counts are accurate. The ASNs must be transmitted no later than end of the day of pick up. Non compliance will result in extensive penalties.
- Warehouse Goods, Inc., prefers vendors use Direct Thermal Labels to avoid smudging of the UCC labels during transit. The thermal label system uses ribbon and transfers the ink to the label which causes the labels to smudge. Any cartons the distribution center cannot scan due to the smudged UCC labels will be charged to the vendors.
- An Invoice
- Label each carton
    - Size of UCC label: 4"X6"
    - It is imperative that the UCC label placed on each packed carton corresponds precisely with the packed units within the carton, as specified by the purchase order. This is particularly important when packing and shipping bundled packed units vs. loose piece cartons. Non-compliance will result in extensive penalties.
    - It is imperative that each carton label be unique; use of duplicate labels will result in an erroneous receipt and also will result in a charge back.

The UCC128 label must be applied to the lower right hand corner of the front face (end) of the carton, 5.0cm (2.0 in) above the bottom and 5.0cm (2.0in) from the right hand side of the carton.

Source: https://www.industrydocuments.ucsf.edu/docs/tlfb0399



Advance Shipping Notice (ASN)

- All vendors of the company are required to submit an Advanced Shipment Notice (ASN) prior to delivery at our distribution center.
- For deliveries on the following day, the ASN must be received in the Distribution Center by 2:30pm. The appointment must also be confirmed prior to 3:00pm.
- The ASN is not a guarantee for appointment. An Appointment Delivery Confirmation number must be received in order for appointment scheduling to be complete.
- Email is the preferred method of transmitting an ASN.
- The ASN should include:
    - Vendor
    - Purchase Order Number
    - Requested Delivery Date and Time
    - Delivery Carrier
    - Number of Cartons
    - Number of Pallets
    - Style
    - Color
    - Quantities
    - Ship Date
    - When shipping UPS/FedEx the service should be stated (i.e. ground, next day, etc.)
- Chargeback Policy for ASN Violation
    - Failure to submit an ASN or attempting to deliver without an ASN will result in a DC chargeback of $____ for each line on the purchase order.

Source: https://www.industrydocuments.ucsf.edu/docs/tlfb0399

Delivery Appointments

- Appointments are required for all shipments to Warehouse Goods, Inc. Distribution Centers
- A Delivery Appointment will not be scheduled unless the ASN is previously on file or the ASN accompanies the appointment request.
- Appointments must be made prior to delivery. Appointments made prior to 3:00pm can be made for the following business day. Appointment can be made up to one week in advance and require a 24 hours cancellation notice.
- Appointments are the responsibility of the vendor, however, appointments can be assigned to the freight carrier.
- If a vendor chooses not to use our preferred carriers, the vendor is responsible for ensuring that an appointment is made and that the time commitment is met.
- Delivery Appointments: Email
    - For emailed ASNs, the Delivery Appointment Confirmation number will be sent by an email reply to the email address that sent the ASN.
    - Email confirmation must be received by 3:00pm for next day delivery.
    - Warehouse Goods, Inc., will reply with the following information in the Delivery Appointment email:
        - Confirmation Number
        - Delivery Date
        - 30 Minute Delivery Window
- Appointments will only be given for the quantities by size as listed on the purchase order.
- Carrier will not be assigned a dock door prior to their assigned Appointment Time.
- Carriers arriving more than one hour after the assigned Delivery Appointment Time are subject to chargeback or refusal
- Carriers arriving without a scheduled appointment of Confirmation Number will be refused.

Source: https://www.industrydocuments.ucsf.edu/docs/tlfb0399

Insurance and Risk Management

All suppliers supplying goods and/or services to Warehouse Goods, Inc. are required to carry Commercial General Liability and/or Product Liability coverage and supply proof of coverage as a condition of conducting business with Warehouse Goods, Inc.. Such policy limits should be sufficient to support the scope and nature of the business. Warehouse Goods, Inc. requirements for such coverage are as follows:

- Minimum General Aggregate Limit of $_____. Each Occurrence limit of $_____.
- We require Warehouse Goods, Inc. to be named as "Additional Insured" with this evidenced on the Certificate of Insurance and the appropriate endorsements attached to the certificates.
- Suppliers supplying goods and/or services to Warehouse Goods, Inc. for the first time must ensure the required "Certificate of Insurance" including all required endorsements is issued to Warehouse Goods, Inc. in advance of the release of any shipments and/or start of any services. These Certificates of Insurance should be forwarded by mail to:

Warehouse Goods, Inc.
6501 Park of Commerce Blvd
Suite 200
Boca Raton, FL 33487

It is the responsibility of the Supplier to update and keep insurance documentation current and provide Warehouse Goods, Inc. with a copy at time of renewal.

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Chargeback Policy

Chargeback Policy for Packing List Violations

- Failure to provide a packing slip or submitting a packing slip with incorrect/missing information will result in a chargeback of a DC fee of $____.
- Penalties charged for packing slip violations will be charged back separately for each line on the Purchase Order.

Chargeback Policy for Carton Violations

- Failure to comply with carton requirements will result in a chargeback of a DC fee of $__ per carton.
- This includes all packaging, labeling, palletizing, and loading requirements listed below.
- There will be a minimum charge of $__.

Chargeback Policy for EDI/UCC-128 Label Violations

Vendors must comply with our electronic ASN/UCC-128 label program.
Violation charges for non-compliant purchase orders will be imposed as follows:

- No Electronic ASN
- Late Electronic ASN
- No UCC-128 labels on cartons
- Incorrect label placement
- Non-scan able carton
- Inaccurate information on the ASN
- Case information does not match ASN

Chargeback Policy for Merchandise Packing Violations

- Failure to correctly pack cartons will result in a chargeback of $__ per carton. This includes mixed products, incorrect pre-pack, etc.
    - There will be a minimum charge of $___.
- A DC rework chargeback of $___ per unit will be charged for the following:
    - Incorrect location of label
    - Merchandise without tickets/labels
- A DC rework chargeback of $___ per unit will be charged for the following:
    - Failure to package merchandise as specified. This includes incorrect packaging or failure to pack correct pre-pack quantities, etc. (requires repackaging).

Chargeback Policy for Routing Guide Violations

A flat rate of $___ will be charged for incorrect product, wrong UPC, shipment to incorrect warehouse, incorrect packing list and/or invoice and early or late delivery. This fee will be deducted from payment of invoice.

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Service Fee
A $___ per hour service fee will be charged when:

- Warehouse Goods, Inc. must make a repair to product to make it saleable
- Replace incorrect UPC tags (if vendor is required to supply tags/stickers)

The Vendor has the option of picking up the entire shipment within 7 days or to send one of their employees to take care of the problem.

RTV (Return to Vendor) / Store Recall / RTV Chargebacks
All merchandise RTV and/or Recall activity, except for consignment, will result in a vendor chargeback.

Source: https://www.industrydocuments.ucsf.edu/docs/tlfb0399

Vendor Acknowledgement and Signature

The vendor hereby acknowledges receipt of the Vendor Compliance and Freight Routing Guide. The vendor will use its best efforts to adhere to the guidelines and agrees to the non-compliance/ service fees listed in this guide.

The vendor also agrees to the following:

The vendor hereby agrees to indemnify, defend and hold harmless Warehouse Goods, Inc. including its officers and employees from any and all claims, damages and/or liabilities related to products sold to Warehouse Goods, Inc. by Vendor. Warehouse Goods may sustain or incur resulting from any product failure, trademark infringement, etc.

The vendor agrees not to use or disclose any confidential information means any and all information received from Warehouse Goods, Inc. which is not generally available to the public as well as any information regarding the Vendors products, prices and terms offered to Warehouse Goods, Inc. which are not generally available to the public, including information acquired or exchanged during negotiations with Warehouse Goods, Inc.

Vendor Company Name _____

Vendor Address _____

Signature _____

Printed Name _____

Printed Date _____

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